Introduction

To prevent the discontinuation of several popular vehicle models and the elimination of many beloved quality-of-life features in their cars, Great American Cars Inc. has contacted Freeform Consulting to determine the feasibility of relocating their primary manufacturing plant from California to South Carolina. Freeform Consulting has researched the elements needed to establish whether or not such a relocation would be profitable.

Purpose and Scope

Great American Cars Inc. is an automobile manufacturer currently based in California. Over the past decade, the manufacturer has consistently achieved its sales targets. However, escalating production costs are challenging the company's ability to maintain the high-quality standards for which it is renowned. Great American Cars Inc. is searching for alternative sites to relocate their company in hopes of reducing their costs. Our research is intended to determine whether or not a full relocation to South Carolina would be a viable option for the company.

This report contains information regarding several aspects of South Carolina relevant to the relocation. These topics include the South Carolina government, economy, market possibilities, and potential competitors.

Assumptions

The recommendations presented in this report are based on the assumption that the economic state of South Carolina is the same as of December 2024. The aforementioned recommendations are also based on the assumption that South Carolina has not made any changes to legislation related to business registration, business licensing, business formation, and business regulations. Additionally, we assume that the public image and reputation of Great American Cars Inc. remains the same as of December 2024. Lastly, we assume that Great American Cars Inc. will be competing with other automotive manufacturers in South Carolina, including, but not limited to BMW, Mercedes-Benz, and Volvo.

Methods

The information in this report was obtained from numerous reputable sources found on the internet. The most beneficial information came from the U.S. Bureau of Labor Statistics, the South Carolina Chamber of Commerce, the U.S. Census Bureau, the National Association of Manufacturers, and the U.S. Bureau of Economic Analysis. These references provided substantial information relevant to the feasibility of Great American Cars Inc.'s relocation.

Limitations

The information in this report is limited to what we ascertained from our online sources. Freeform Consulting had no representatives available to travel to South Carolina to perform on-site research.

Definitions

There are a few terms found throughout this report that we would like to clarify the meaning of. The first of which is an acronym, GDP, which stands for Gross Domestic Product. Another acronym we use is SWOT, which stands for strengths, weaknesses, opportunities, and threats. We would also like to clarify the difference between the two categories of competitors listed in the report. "*Direct competitors*" refers to other automotive manufacturers directly competing with Great American Cars Inc. in the state of South Carolina. *"Indirect competitors"* is about manufacturers located in neighboring states.

Criteria

Freeform Consulting has established the following criteria for determining whether or not Great American Cars Inc.'s relocation is feasible. The criteria include the South Carolina government, economy, and market potential (possibilities) / competitors. The importance of each criterion has been weighted using the following percentages:

- Government = 30%
- Economy = 30%
- Market Potential (Possibilities) / Competition = 40%

Each criterion has been thoroughly researched and their respective conditions have been assessed as either beneficial or detrimental to the relocation project.

Government

The government of South Carolina maintains a strong program to incentivize businesses to move and stay there. The government works closely with businesses to maintain regulations that are strong, yet simple. Businesses are regulated by the state, county, and municipal governments. The state offers numerous tax credits that would be of interest to Great American Cars Inc. Additionally, South Carolina provides numerous exemptions from sales tax for businesses that meet select criteria. South Carolina law allows Great American Cars Inc. to negotiate incentives with both the state and municipal governments, giving the company high bargaining power (SC Chamber of Commerce, 2024).

Business Regulations

South Carolina provides a very appealing regulatory climate for Great American Cars Inc. It ranks highly on many indexes. South Carolina is a right-to-work state, meaning that unions cannot coerce employees into joining the union or paying dues to it (SCA Development Alliance, 2024). The effect is that South Carolina is an environment in which unions have minimal power to coerce employers. This translates into reduced labor and manufacturing costs and vastly reduced risk of labor strikes and walkouts. Additionally, the state has a minimal regulatory code, meaning that Great American Cars Inc. can start its operations with minimal downtime and less legal fees. Figure 1 compares the regulatory restrictions of various Southern states by how long it takes to analyze each states' code. South Carolina ranks the lowest of any Southern state; 53% lower than the highest state, Florida, and 26% lower than the next lowest state, Alabama.

Figure 1
State Regulatory Restrictions in the South

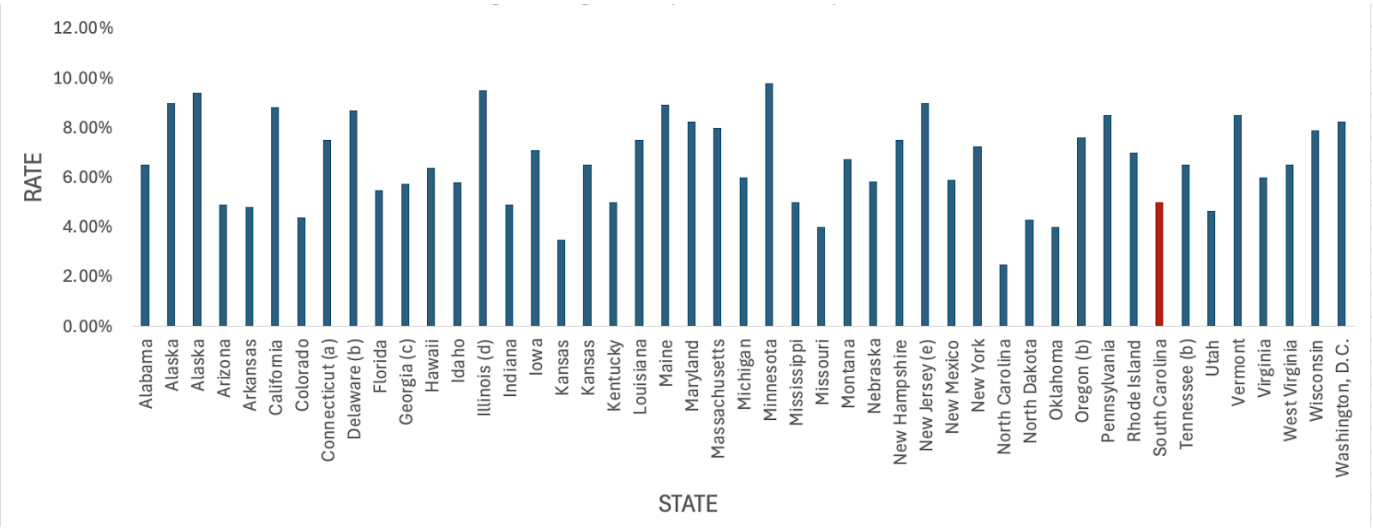
Source: https://www.mercatus.org/research/policy-briefs/snapshot-regulation-southern-us-states

South Carolina also boasts minimal construction regulations. Businesses seeking to build new factories deal with far fewer regulations than they would on average in other states. It is for this reason that South Carolina is ranked the best state in the country for manufacturing produce (SCA Regional Development Alliance, 2024).

Taxes

South Carolina has a highly favorable tax regime. The state has a corporate tax rate of just 5%, which is below the national average (Tax Foundation, 2024). Figure 2 shows a comparison of the state's corporate tax rate compared to the highest rates of other states. The state also has no personal income tax, meaning that employees are willing to accept lower wages because their net wages are higher. South Carolina has no special taxes on gross receipts, carbon emissions, or manufacturing plants. The state itself levies no property taxes. Property taxes are collected only on the county level and are open to negotiation because of the jobs Great American Cars Inc. will bring.

Figure 2
Highest Corporate Tax Rate by State



Source: https://taxfoundation.org/data/all/state/state-corporate-income-tax-rates-brackets-2024/

Incentives

Businesses moving to South Carolina have a variety of methods at their disposal to reduce the corporate and property taxes they owe. South Carolina offers an "Enhanced Corporate Headquarters Tax Credit" that gives businesses up to 20% of the costs of establishing their headquarters back as a tax credit. The state also offers a tax credit of 5% of expenses incurred towards research and development. Additional credits exist for the installation of solar and hydropower systems (SC Chamber of Commerce, 2024).

Summary

South Carolina has an ideal government. It has less regulatory overhead than other states, allowing the firm to migrate its operations without delay. The state's labor laws give Great American Cars Inc. high bargaining power with its employees. The state levies considerably less taxes on the business and its staff than competing jurisdictions. These taxes can be reduced further through incentives in the form of tax credits and reduced tax assessments. We predict that upon its move, Great American Cars Inc. will be thoroughly pleased with its interactions with state officials.

Economy

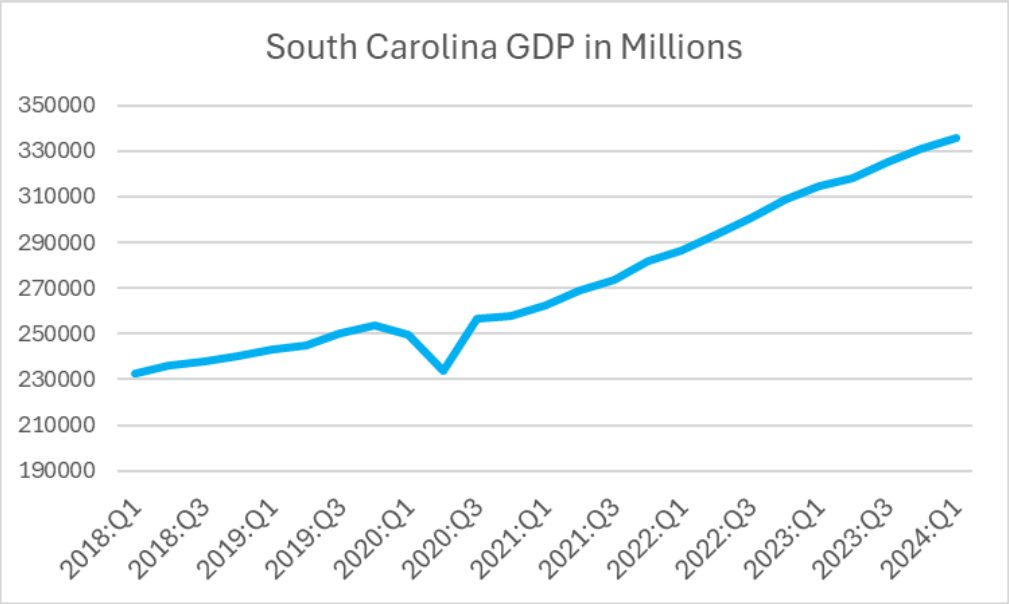
South Carolina's economy has experienced significant growth and diversification in recent years, which has been marked by robust GDP increases, declining unemployment rates, and substantial investments in key industries. The state's real GDP has shown a strong upward trajectory. In the third quarter of 2023, South Carolina's real GDP growth rate was 5.7%, surpassing the previous quarter's 1.9% (USAFacts, 2023).

GDP

South Carolina is currently ranked 10th in its performance rank and 24th in its economic outlook (RSPS, 2024). Performance rank is based on previous efforts at increasing GDP, whereas the economic outlook is based on the state's potential for increasing GDP in the future.

Figure 3 demonstrates a consistent upward trend in South Carolina's GDP from 2018 to 2024. The state's GDP has increased from approximately $230 billion in 2018 to nearly $330 billion in 2024, indicating sustained growth over time. A notable dip occurred during 2020 due to the COVID-19 pandemic, but the economy rebounded strongly in subsequent years, highlighting its resilience. During Q3 of 2023, South Carolina ranked 12 in economic growth. This growth reflects the effectiveness of South Carolina's economic strategies, including fostering business-friendly policies and attracting investments. This shows why it is suitable for Great American Cars Inc. to move its manufacturing plants over.

Figure 3
South Carolina GDP Growth



Source: https://www.bea.gov/data/gdp/gdp-state

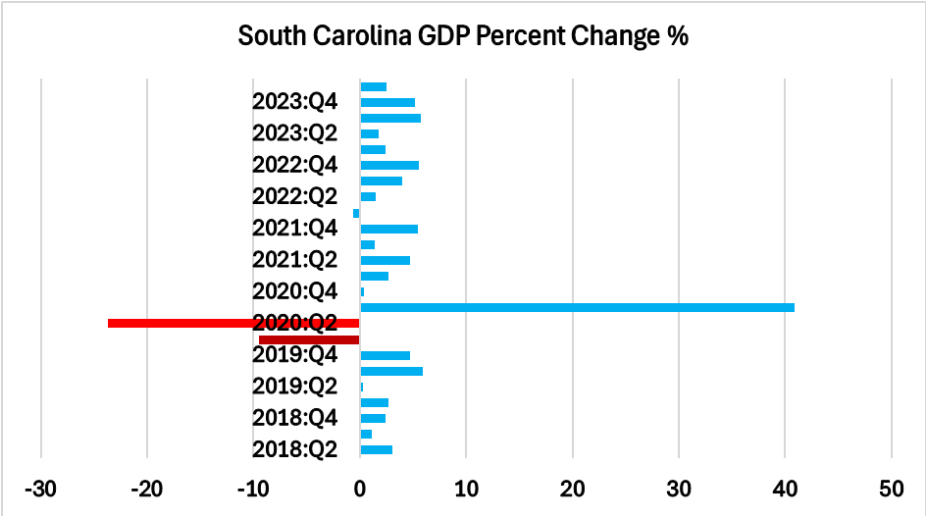
Figure 4 illustrates the GDP percent change per quarter in South Carolina, showcasing the variability in economic growth over time. This is the data economists most sought out. The goal is to get a better percentage change from one quarter to the next. A notable observation is the sharp negative dip in 2020:Q2, where GDP dropped significantly by approximately 30%, reflecting the impact of the COVID-19 pandemic. This quarter stands out as the largest economic contraction during the observed period.

In contrast, 2020:Q3 experienced a remarkable rebound with GDP growth of nearly 40%, demonstrating the economy's swift recovery efforts following pandemic-induced disruptions. Another significant period of growth is visible in 2021:Q4, where the GDP percent change rose above 10%, highlighting strong economic momentum.

Comparatively, recent quarters, such as 2023:Q3 and 2023:Q4, show steady but moderate GDP growth, maintaining a consistent upward trend without drastic fluctuations. This stability contrasts with the more volatile changes observed during the pandemic years.

The graph emphasizes South Carolina's resilience, with recovery phases outweighing contraction periods. This reflects the state's adaptability to economic challenges and a focus on sustained quarterly growth post-pandemic.

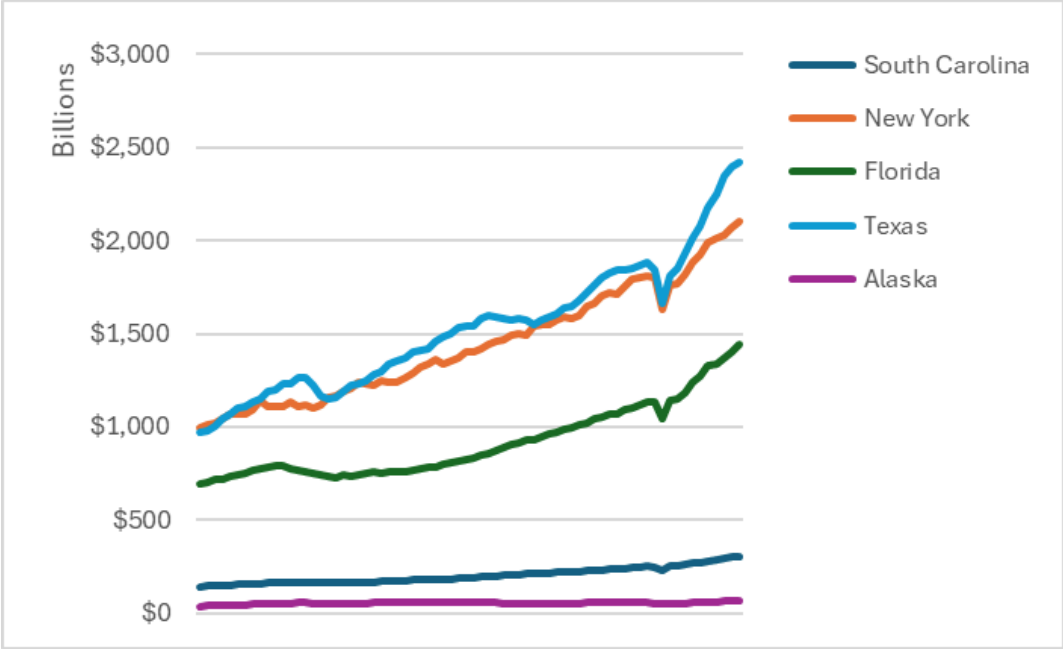
Figure 4
South Carolina GDP Percent Change per Quarter



Source: https://www.bea.gov/data/gdp/gdp-state

Figure 5 compares North Carolina's GDP with other States. At the end of 2022, California was 14% of the whole USA's GDP. Texas was 9%, New York was 8%, Florida was 5.53%, South Carolina was 1.17%, and lastly, Alaska was the lowest being 0.25% (BEA, 2024). As of recently, South Carolina has been recorded to be 2.8% of the US.

Figure 5
States GDP Comparison (2005-2022)



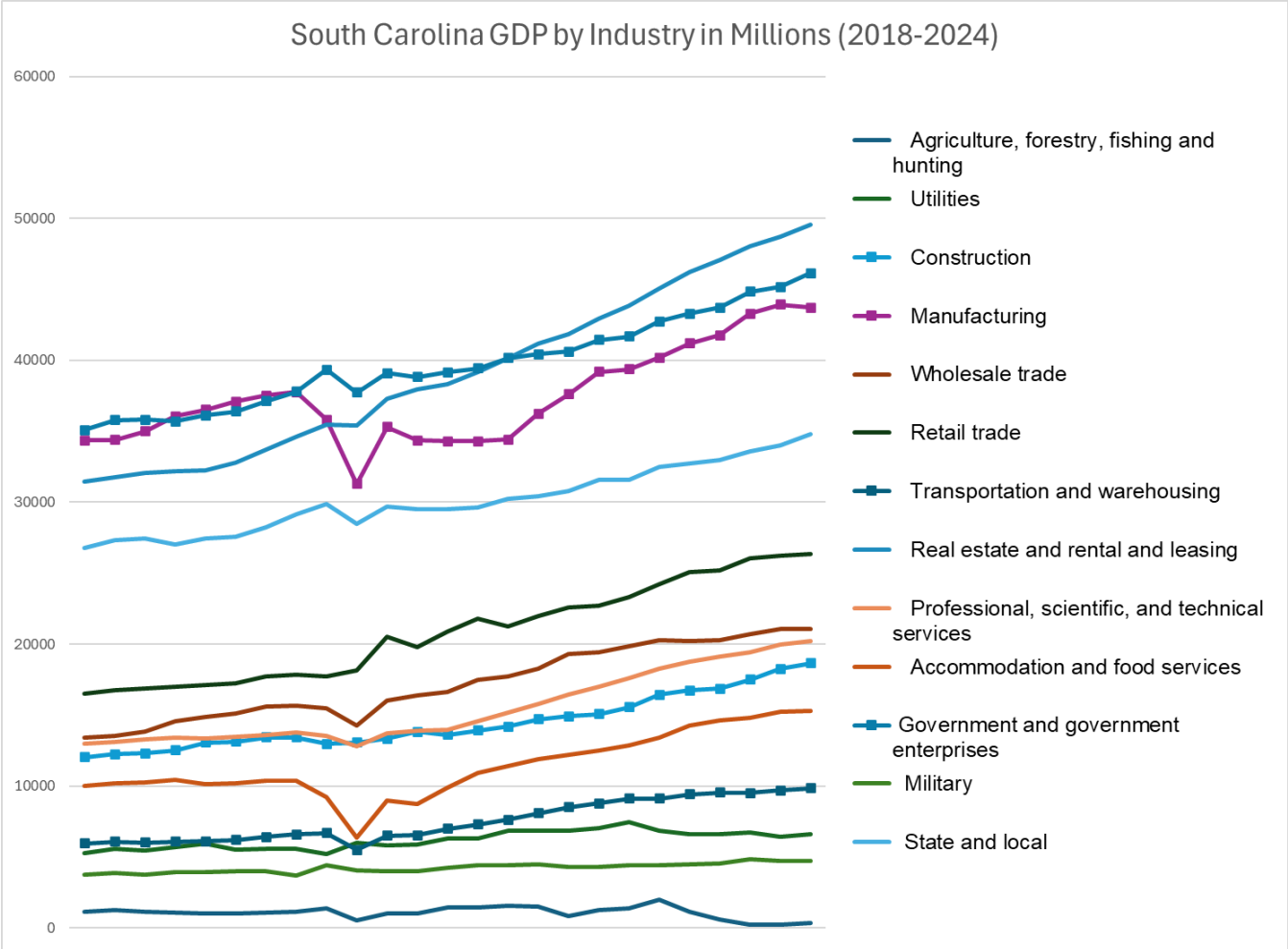
Source: https://www.bea.gov/data/gdp/gdp-state

Figure 6 shows GDP contributions across industries in South Carolina from 2018 to 2024. Industries important to our mission include manufacturing, construction, government, transportation, and warehousing. Manufacturing is a significant contributor, showing a steady increase, indicating robust industrial activity. Additionally, Manufacturing was one of the three major sectors to have total employment in 2024 (IBISWorld, 2024). Transportation and warehousing's growth aligns with South Carolina's strategic geographic position and focus on logistics. Lastly, the rise in construction can be due to the increased investments in running businesses.

Figure 6 greatly indicates why Great American Cars should move their Manufacturing plants to South Carolina. We want to essentially ride the Manufacturing GDP line. All Industries and been increasing and neighboring industries like transportation and warehousing are very close to the Manufacturing line. Additionally, the transportation and warehousing industry will play a crucial role in the movement of the cars made in the manufacturing plants of Great American Cars Inc.

It is worth mentioning many industries were taken out for a better viewing experience as well as some being irrelevant. Also, the great dip in 2020 is from the COVID-19 pandemic

Figure 6
South Carolina GDP by Industry



Source: https://www.bea.gov/data/gdp/gdp-state

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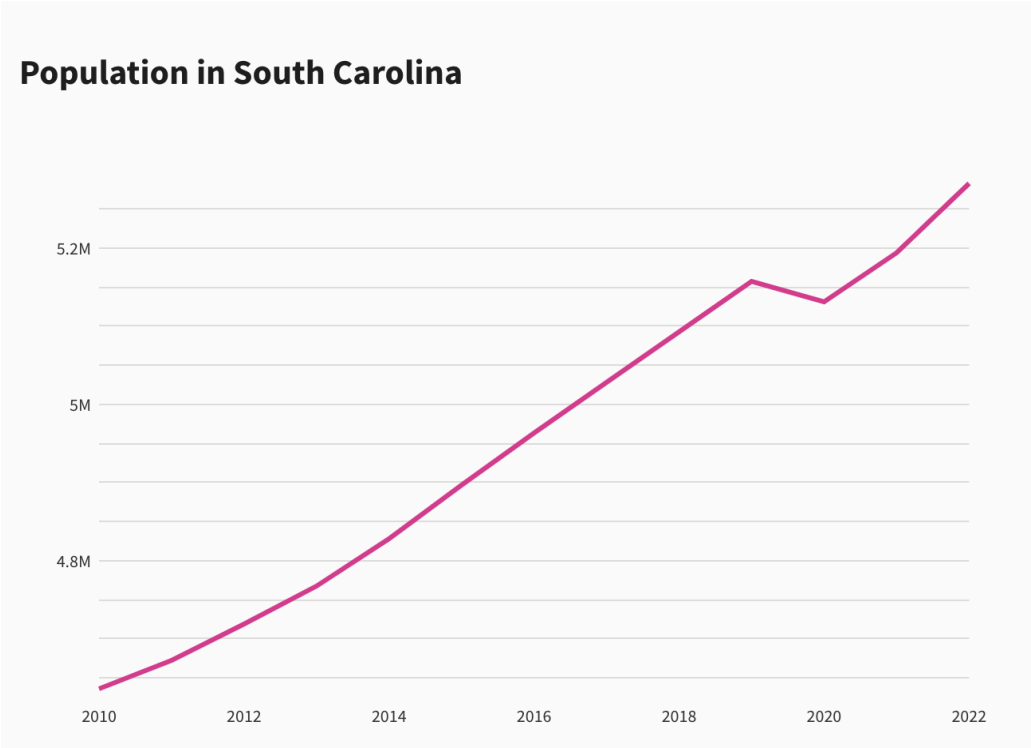
Population

South Carolina's population has experienced consistent and notable growth over the past decade, increasing by 14% from 4.6 million in 2010 to 5.2 million in 2022 (USAFacts, 2024). This growth rate outpaces the national average, underscoring the state's appeal as a destination for both individuals and businesses. Key factors contributing to this rise include South Carolina's relatively low cost of living, favorable climate, and expanding job market, particularly in industries such as manufacturing, technology, and healthcare.

Figure 7 shows that between 2021 and 2022 alone, the state saw a population increase of 1.7%, reflecting a continued influx of new residents. Many are drawn to urban centers like Charleston, Greenville, and Columbia, which offer a blend of economic opportunities and cultural amenities. Additionally, retirees seeking a mild climate and an affordable lifestyle have significantly contributed to the population surge.

This steady population growth presents both opportunities and challenges for South Carolina. On one hand, it fosters economic development and diversification, enhancing the state's overall competitiveness. On the other, it places increased demands on infrastructure, housing, education, and healthcare systems. As South Carolina continues to grow, strategic planning will be essential to ensure that resources and services keep pace with the needs of its expanding population.

Figure 7
Population of South Carolina

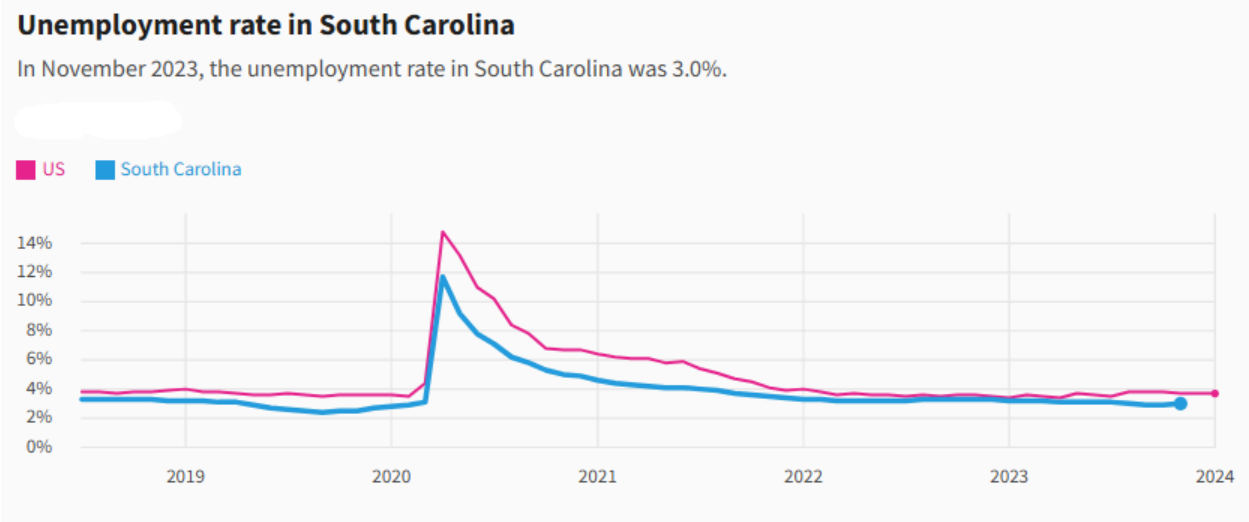


Source: [South Carolina population by year, county, race, & more | USAFacts](#).

Unemployment Trends

Figure 8 is an unemployment rate chart showing that South Carolina is consistently outperforming the national average in recent years. In November 2023, the state's unemployment rate was 3.0%, significantly below the national average. The steep rise in unemployment during 2020 was short-lived, and recovery has been swift, underlining the state's economic resilience.

Figure 8
Unemployment Rates in South Carolina (2019-2024)



Source: https://usafacts.org/topics/economy/state/south-carolina/

Summary

Through research, South Carolina's economy has demonstrated exceptional resilience and growth over the years, characterized by steady increases in GDP, significant contributions from the manufacturing sector, and a low unemployment rate of 3.0%, which is well below the national average. The state's strategic geographic position, robust infrastructure, and investments in key industries like transportation and warehousing further highlight its economic viability. Given this economic strength, Great American Cars Inc. should strongly consider relocating its manufacturing plants to South Carolina. The state's manufacturing sector has shown consistent growth and is well-equipped to support advanced industrial operations. Moreover, the low cost of doing business, coupled with a skilled and readily available workforce, ensures a seamless transition and long-term benefits for the company. Relocating to South Carolina would not only align with the company's growth objectives but also position it in one of the fastest-growing economies in the United States.

Market Possibilities and Competitors

Introduction

Great American Cars Inc. has a lot of chances to grow its business in South Carolina. The state is a desirable choice because of its sturdy infrastructure, powerful workforce development initiatives, and manufacturing-focused economy. To determine whether this relocation is feasible, our study looks at the competitive environment, labor availability, and potential market.

Market Trends

The automobile sector in South Carolina has been expanding quickly. More than 500 automotive-related businesses, including well-known producers like BMW and Volvo, call the state home, contributing $27 billion to the state's economy each year (SC Commerce, 2024). Additionally, investments in sophisticated

manufacturing is being driven by the need for hybrid and electric automobiles, establishing South Carolina as a leader in environmentally friendly auto production.

Target Audience

- Demographics: South Carolina's population of 5.3 million, with a growth rate among the fastest in the nation, ensures a steady influx of skilled labor and potential consumers.
- Behavior: The state's automotive workforce is bolstered by vocational programs like Apprenticeship Carolina, ensuring a pipeline of skilled employees for manufacturers (SC Commerce, 2024).

Competitor Analysis

Competitor	Focus	Strengths	Weaknesses
BMW Manufacturing	Luxury vehicles	Established supply chain and global market	Focused on high-end vehicles
Volvo Cars USA	Electric and hybrid vehicles	Investment in EV technology	Limited local supplier network
Daimler Trucks	Commercial vehicles	Strong partnerships with South Carolina ports	High competition in commercial vehicle space

Technology Advancements

When it comes to car manufacturing, the state stands at the forefront of technological innovations. Modern automation, robots, and data-driven supply chain management systems are essential to South Carolina's automotive sector (SouthTech Online).

The proposed technology adoption plan focuses on integrating advanced manufacturing tools, sustainability initiatives, and data analytics to drive innovation and efficiency. Robotics will be utilized for precision assembly and quality control, ensuring higher productivity and improved product standards. Sustainability efforts include the introduction of renewable energy-powered facilities, aligning operations with global environmental goals and reducing the company's carbon footprint. Additionally, predictive maintenance systems leveraging data analytics will be implemented to minimize equipment downtime and enhance operational reliability.

The benefits of this approach are substantial. Automation through robotics is projected to improve productivity by 25% while simultaneously reducing costs. Meanwhile, the adoption of renewable energy could lead to a 15% reduction in emissions, significantly contributing to the company's sustainability objectives. This comprehensive strategy positions the organization to achieve both economic and environmental milestones effectively.

The implementation plan will begin with a six-month phase to assess the current technology and identify any gaps in the existing systems. Following this, a twelve-month phase will focus on procuring and installing advanced machinery to enhance production capabilities. Finally, the plan will conclude with a six-month phase dedicated to training the workforce and fully integrating the new systems into the operational framework, ensuring a seamless transition to the advanced technological processes

Competition

South Carolina's automotive sector faces intense competition from both direct and indirect competitors. Prominent manufacturers like BMW and Volvo dominate the luxury and electric vehicle markets, benefiting from extensive supplier networks and strategic proximity to major ports. Meanwhile, neighboring states such as Alabama and Tennessee pose additional challenges with their similar business-friendly climates, attracting automotive

investments. However, Great American Cars Inc. can carve out a competitive advantage by offering mid-tier pricing and vehicles designed specifically for families. Coupled with its strong commitment to sustainability, the company has the opportunity to appeal to environmentally conscious consumers and establish a unique position in the market.

SWOT Analysis

Category	Great American Cars Inc.	Competitors
Strengths	Mid-tier pricing, sustainability focus	Established supply chains, brand loyalty
Weaknesses	New to the region, untested supplier base	Higher production costs
Opportunities	Growing demand for affordable EVs	Advanced manufacturing technologies
Threats	Established competitors, rising material costs	Increasing regulatory requirements

Integration

Integration is key to ensuring the successful establishment of Great American Cars Inc. in South Carolina. Internally, the company must align its corporate culture with the local values of South Carolina while maintaining its commitment to innovation and quality. Collaborative efforts between operations, HR, and marketing teams will be critical to ensuring a smooth transition and fostering a cohesive organizational environment.

From a technological and operational perspective, advanced manufacturing technologies will be integrated seamlessly with South Carolina's existing infrastructure. This integration is expected to enhance supply chain efficiency and enable faster production timelines, positioning the company as a competitive force in the region's automotive sector.

Workforce integration will be a cornerstone of the company's success. By forming partnerships with Apprenticeship Carolina and local technical colleges, Great American Cars Inc. can cultivate a skilled and loyal workforce to support its operations. Additionally, public relations campaigns will play a vital role in educating local communities about the company's economic impact and opportunities, fostering goodwill and community engagement.

Ultimately, the company aims to build strong community ties to ensure local support and enhance operational efficiency by adopting modern manufacturing processes. These goals will help solidify its presence in South Carolina and position it for long-term success.

Summary

Great American Cars Inc. has a strong argument to move its manufacturing operations to South Carolina. Growth is supported by its strong automotive ecosystem, knowledgeable workforce, and welcoming corporate environment. The business can get a competitive edge in the changing automotive market by implementing innovative production technology and utilizing regional alliances. We advise continuing with a comprehensive feasibility study and starting the initial relocation procedures.

Conclusion and Recommendations

Our thorough study shows that there are several advantages to moving Great American Cars Inc.'s production facilities to South Carolina. A solid basis for long-term operational success is provided by the state's quickly expanding automotive sector, which is bolstered by favorable business regulations, initiatives for trained workers,

and modern facilities. The economic benefits of South Carolina complement Great American Cars Inc.'s objective of cutting production costs without sacrificing product quality.

Even with well-known rivals like Volvo and BMW, Great American Cars Inc. may profit from the underused middle car market. The business can establish a distinctive market position by emphasizing affordability and sustainability. Furthermore, South Carolina offers exciting opportunities for growth and innovation due to its emphasis on workforce training and the new developments in electric and hybrid vehicles.

Although there are many advantages to the move, overcoming possible obstacles including competitiveness, and cultural differences, and successfully assimilating into South Carolina's corporate environment will be necessary for success.

To ensure the successful relocation of Great American Cars Inc.'s manufacturing plants, we propose the following:

1. **Strategic Market Positioning**
    - Focus on the midrange vehicle segment to avoid direct competition with luxury brands like BMW and Volvo.
    - Prioritize affordability and sustainability to appeal to a broader customer base.
2. **Investment in Workforce Development**
    - Partner with Apprenticeship Carolina and technical colleges to build a skilled workforce.
    - Offer training programs to ensure employees are equipped with the skills needed for advanced manufacturing and electric vehicle production.
3. **Leverage Infrastructure and Economic Incentives**
    - Utilize South Carolina's advanced transportation network for supply chain efficiency.
    - Take advantage of state incentives and tax benefits to offset relocation costs.
4. **Build Community Relations**
    - Engage with local communities to establish brand loyalty and improve public perception.
    - Develop marketing campaigns tailored to South Carolina's culture and values.
5. **Monitor Competitor Activity**
    - Conduct regular market analyses to adapt to competitor strategies.
    - Explore partnerships with local suppliers to strengthen market presence and improve cost efficiency.
6. **Embrace Technological Advancements**
    - Invest in cutting-edge manufacturing technologies to stay ahead of industry trends.
    - Focus on research and development of electric and hybrid vehicles to tap into emerging consumer preferences.

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